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China's New Silk Road: The Belt and Road Initiative

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The Silk Road was a network of trade routes from the second to the fifteenth century, connecting Asia (majorly, China) and Europe and facilitating trade between them (6). The “new” Silk Road is called the Belt and Road Initiative (BRI). The “road” is a maritime network of

shipping lanes connecting China, Southeast Asia, Africa, and the majority of Europe. The “belt” refers to the land routes that run through Central Asia and Europe (3).

This plan attempts to span the globe, involving more than 60 countries across the continents. The purpose of BRI is to strengthen trade, infrastructure, investment, and connectivity between China and the other participating countries. This Chinese foreign policy is on its way to having access to 75% of the world’s known energy reserves and more than 30% of the global GDP (3).

The BRI sounds great in theory, all economic transactions are bound to be fruitful to whoever engages with them. But one must wonder about the geopolitical agenda behind this trillion-dollar plan. This is what many countries are struggling to come to terms with: why is China-known for not being very involved in international matters -now initiating big plans to integrate itself into the world both politically and economically? This paper is an attempt to fathom China’s motive and to understand the global suspicion behind the new Silk Road.

Criticisms of the Belt and the Road

China’s big plan has met a lot of objections and questions. Due to complaints from Beijing’s partner governments about high expenditures, corruption, and what the Malaysian Prime Minister has dubbed “a new type of colonialism,” Chinese-funded railway projects in Indonesia, Malaysia, and Thailand have come to a standstill (1).

Beijing has come under fire from analysts for engaging in “debt-trap diplomacy,” using the BRI as a pretext to offer enormous loans that will bind its allies to Chinese objectives (1). The economies suffering from large debts to China do not view Chinese investment as “benevolence”. The projects China funds frequently serve to either make it easier for China to obtain natural resources or to expand the market for its low-quality, low-priced export items rather than to help the local economy.

China frequently deploys its own construction workers, reducing the number of jobs that are produced locally. There is speculation that perhaps China is better off when the projects they funded do not do well since that means the burden on the receiving country will be on the rise and may hand over authority or stakes to China as payment instead (2).

Furthermore, when advocating in Brussels for stricter anti-dumping regulations against imports of cheaper Chinese steel, the French president warned that Europe should not be “naive” in its trade dealings. Beijing took offense when he pushed the European Commission to create a system for evaluating outside investments in vital industries in June (7).

Perhaps the biggest reason behind these criticisms is the vagueness and the lack of clarity surrounding BRI. Nobody, not even in Beijing the Chinese capital, is aware of what BRI is. A list of official BRI participants or a formal description of what constitutes a BRI project has never been made available by the Chinese government. Chinese interest groups, including local governments, state-owned businesses, private enterprises, universities, as well as charities and non-governmental organizations, have thus been able to assert that their pet projects are a part of the BRI, whether they receive an official BRI stamp or not (1). Although the BRI was formally introduced in 2013, projects started years earlier are frequently included under the BRI umbrella (5).

It's always China versus the US

The US diplomats frequently charge Beijing with “predatory financing,” and the US Secretary of State described BRI as a Chinese effort to acquire an “empire” last October (1). In fact, in retaliation to BRI, the US came up with the Better Utilization of Investment Leading to Development (BUILD) act. To complement American aid and foreign policy goals, this bill creates the United States International Development Finance Corporation (USIDFC) to make it easier for private sector capital and expertise to contribute to the economic

development of low- or lower-middle income nations and nations making the transition from nonmarket to market economies (4).

In contrast to China's huge state-to-state lending strategy, the USIDFC offers a private sector, market-based approach. Additionally, it satiates a glaring gap that Chinese financing does not. Small and medium-sized firms (SMEs) are not supported by funding from China, and the country rarely aids the expansion of regional businesses in countries like Afghanistan or Africa (8).

To conclude, everyone is relatively suspicious of China. They all have opinions about the BRI, both favorable and mostly unfavorable. Some countries in their debt trap are trying to do what they can to free themselves from the strong clutches of Chinese investment, but it hasn't been working out very well for them. As a result, they have had to surrender more of their power and resources to China as payment. Some countries, for example, the US retaliated with a new economic bill of their own- the BUILD act. China's lack of transparency and details of BRI has led to the BRI having a notorious reputation when it had the potential to change the geopolitical and socio-economical atmosphere of the trading world better.

Perhaps, hope can be held onto. But first, China must indulge the world with information detailing where its money is going and what they stand to gain from BRI to truly obtain global trust and cooperation. This, however, is another topic that we hope to divulge more about in the future.

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